Savings Account Terms and Conditions

Meridian National Bank | Document ID: MNB-POL-SAV-001 | Version 3.2 | Effective: 01 April 2026

This is a synthetic document created for software testing (RAG evaluation). Meridian National Bank is a fictional institution; all figures, names and policies are invented.

1. Overview

Meridian National Bank (MNB) offers three savings account variants to resident individuals: Everyday Savings, Premium Savings and Junior Savings. This document sets out eligibility, balance requirements, interest, and operating rules.

Variant	Minimum Average Monthly Balance (MAB)	Interest rate (p.a.)	Eligibility
Everyday Savings	INR 5,000 (metro/urban), INR 2,500 (semi-urban), INR 1,000 (rural)	3.00% up to INR 1 lakh; 3.50% above INR 1 lakh	Resident individuals aged 18+
Premium Savings	INR 50,000 across all branches	3.75% up to INR 10 lakh; 4.25% above INR 10 lakh	Resident individuals aged 18+ with PAN
Junior Savings	INR 500	3.00% flat	Minors under 18, operated by a guardian; minors aged 10+ may operate independently up to INR 10,000 per month

2. Interest Calculation

Interest is calculated on the daily closing balance and credited quarterly on the last working day of March, June, September and December. Tax Deducted at Source (TDS) of 10% applies when total interest income from MNB exceeds INR 50,000 in a financial year (INR 1,00,000 for senior citizens aged 60 and above), provided a valid PAN is on record.

3. Minimum Balance Shortfall

If the MAB falls short, a non-maintenance charge applies at 5% of the shortfall, subject to a cap of INR 600 per month for Everyday Savings and INR 1,500 per month for Premium Savings. Junior Savings accounts and accounts opened under the Basic Savings Bank Deposit (BSBD) scheme carry no minimum balance charge.

4. Transaction Limits

- Cash deposits at branch: up to INR 2,00,000 per day without PAN verification beyond account records; deposits of INR 50,000 or more in a single transaction require PAN.
- Cash withdrawal at ATM: Everyday Savings INR 40,000 per day; Premium Savings INR 1,00,000 per day.
- Free ATM transactions per month at MNB ATMs: 8 for Everyday, unlimited for Premium. At other banks' ATMs: 3 in metro locations and 5 in non-metro locations.
- Daily UPI transfer limit: INR 1,00,000 (INR 2,00,000 for verified merchants and for specific categories such as capital markets and insurance).

5. Dormancy and Closure

An account with no customer-initiated transaction for 12 consecutive months is marked inactive. After 24 months without customer-initiated activity, it is classified as dormant and debits are blocked until the customer completes re-KYC at a branch or via video KYC. Accounts may be closed within 14 days of opening without charge; closure after 14 days but within 12 months attracts a charge of INR 500 plus applicable taxes.

6. Nomination

Nomination is strongly recommended for every account. A customer may nominate up to four persons, specifying percentage shares that total 100%. Nomination can be changed at any time using Form DA-1 or through net banking.